California Compliance & Labeling Strategies

PrimeLabel CONSULTANTS
The Leader in Food Labeling Since 1972

OFW Olsson Frank Weeda Terman Matz PC

Who We Are



Jennifer Gross – Principal Attorney, Litigation Practice Head



Nicole Bayne– Associate Attorney, Litigation

WARNING LABEL

This presentation is for informational purposes and is not intended as legal advice

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Overview

- Introduction
  - Why California Compliance and Labeling Requires its Own Presentation
- Food/ Color Additive Bans in CA
  - AB 418
  - School Additive Ban
- Date Labeling
- Ultra-processed Foods
- Proposition 65 Developments
- The Baby Food Testing Disclosure Requirement
- Looking Ahead
- Q&A

California Compliance and Labeling

- Unique and stringent state-specific regulations.
- Frequent legislative updates and industry impact.
- Industry-wide impacts.
- Broad reach/influence.
- Distinct compliance challenges.



Food and Color Additive Bans



Bill Number	Compliance Deadline	Food Material (Ingredient/Color/Additive Being Banned or Restricted)	Summary	Link to Bill Text	Other
AB 418	Friday, January 1, 2027	Brominated Vegetable Oil, Potassium Bromate, Propylparaben, Red Dye #3 (Erythrosine)	Starting January 1, 2027, it is unlawful for a person or entity to manufacture, sell, deliver, distribute, hold, or offer for sale, in commerce a food product for human consumption that contains Brominated Vegetable Oil, Potassium Bromate, Propylparaben, Red Dye #3 (Erythrosine)	https://leginfo.legislature.ca.gov/faces/billNavClient.xhtml?bill_id=202320240AB418	Violation can result in a civil penalty not to exceed $5,000 for a first violation, and not to exceed $10,000 for each subsequent violation.
AB 2316	Friday, December 31, 2027	Blue #1 (Brilliant blue FCF), Blue #2 (Indigo Carmine/Indigotin), Green #3 (Fast Green FCF), Red Dye #40 (Allura Red), Yellow Dye #5 (Tartrazine), Yellow Dye #6 (Sunset Yellow).	Starting December 31, 2027, competitive foods sold during school hours must not contain any of the named substances; however, there are exceptions. Schools may permit the sale of food items as part of a school fundraising event in either of the following circumstances: (1) The sale of those items takes place off of and away from school premises. (2) The sale of those items takes place on school premises at least one-half hour after the end of the schoolday.	https://leginfo.legislature.ca.gov/faces/billCompareClient.xhtml?bill_id=202320240AB2316&showamends=false	

The California Food Safety Act (AB 418)

Overview

- Passed: October 7, 2023
- Purpose: To enhance food safety by banning certain substances in food products.
- Compliance Date: January 1, 2027

Key Provisions - Prohibits a person or entity from manufacturing, selling, delivering, distributing, holding, or offering for sale, in commerce a food product for human consumption that contains any specified substance. Prohibited Substances:

- Brominated vegetable oil
- Potassium bromate
- Propylparaben
- Red Dye # 3

Penalties:

- First Violation: Civil penalty up to $5,000.
- Subsequent Violations: Civil penalty up to $10,000

Pupil Nutrition: Substances: Prohibition (AB 2316)

Overview

- Passed: September 28, 2024
- Purpose: To improve pupil nutrition by banning certain synthetic substances in school meals.
- Compliance Date: December 31, 2027

Key Provisions - Competitive foods sold during school hours must not contain any of the named substances; however, there are exceptions. Schools may permit the sale of food items as part of a school fundraising event in either of the following circumstances: (1) The sale of those items takes place off and away from school premises. (2) The sale of those items takes place on school premises at least one-half hour after the end of the schoolday. Named substances include:

- Blue Dye # 1
- Blue Dye # 2
- Green Dye # 3
- Red Dye # 40
- Yellow Dye #5
- Yellow Dye # 6

Food Safety: Unsafe Additives and Ingredient Disclosures (AB 2034)

Overview

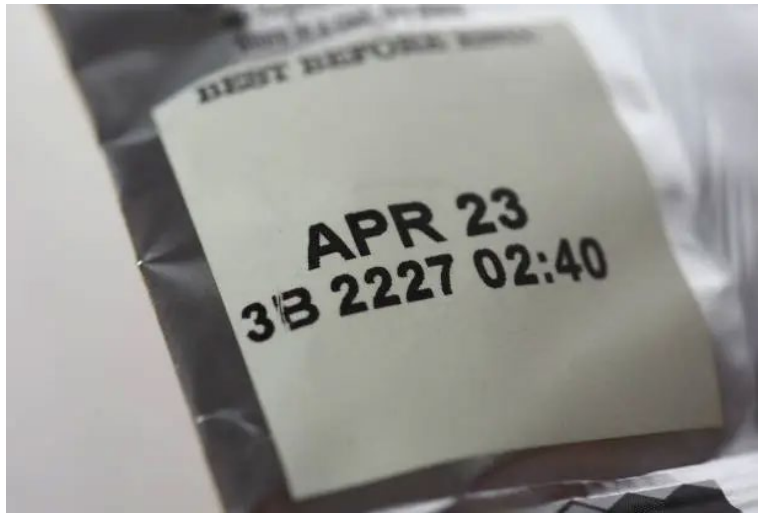
- Introduced: February 17, 2026
- Compliance Date: July 1, 2027

Key Provisions – Requires companies to submit a notice to the California Department of Public Health (CDPH) when intending to use a new food additive or ingredient in their products, which must include the same evidence and information that is required for federal GRAS notifications. CDPH would then issue or decline a license for new food additives and ingredients.

- Would also require the manufacturer of any packaged food product to provide the department with a list of its food products that are sold in the state and identify each ingredient not individually named in the ingredient list

Date Labeling in CA







Food & Beverage Products: Labeling: Quality Dates, Safety Dates, & Sell-by Dates (AB 660)

Overview

- Passed: September 28, 2024
- Purpose: To standardize date labeling on food and beverage products to reduce food waste.
- Compliance Date: July 1, 2026

Key Provisions – Importantly, date labeling is ***voluntary***. This law does not require date labeling, but if a food manufacturer, processor, or retailer responsible for labeling food items chooses to include a date label, the law requires the use of standardized data label terms, including:

1. "BEST if Used By" or "BEST if Used or Frozen by" (or the acronym "BB" for small packages) to indicate the quality of food item.
2. "USE by" or "USE by or Freeze by" (or the acronym "UB" for small packages) to indicate the safety of a food item.

*** The bill prohibits use of the term "sell by."*

Penalties:

- Non-compliance: May result in misdemeanor charge

Ultra-Processed Foods



Pupil Nutrition: Restricted School Foods and Ultraprocessed foods of concern: Prohibition (AB 1264)

Overview

- Passed: September 12, 2025

Key Provisions – the bill defines "ultraprocessed food" as any food or beverage that contains one or more ingredients with specified technical effects (e.g., emulsifiers, stabilizers, colors, flavors, flavor enhancers, non-nutritive sweeteners); and either (i) contains "high amounts of" saturated fat, sodium or added sugar (as defined in the new legislation) or (ii) contains a nonnutritive sweetener or certain other specified substances (e.g. hydrogenated starch hydrolysates and sucralose).

- Require the State Department of Public Health to adopt regulations, on or before June 1, 2028, to define "ultraprocessed foods of concern" and "restricted school foods."
- Requires "ultraprocessed foods of concern" and "restricted school foods" be phased out from school meals by July 1, 2035.

Concerns:

- There is, however, no scientific consensus around what "ultra-processed" means
- Should not override FDA authority and enforcement over premarket review of food additives.

Non-Ultraprocessed Certified Food Standard (AB 2244)

Overview

- Introduced: February 19, 2026
- Purpose: Create a state certification program for products that are not ultraprocessed food

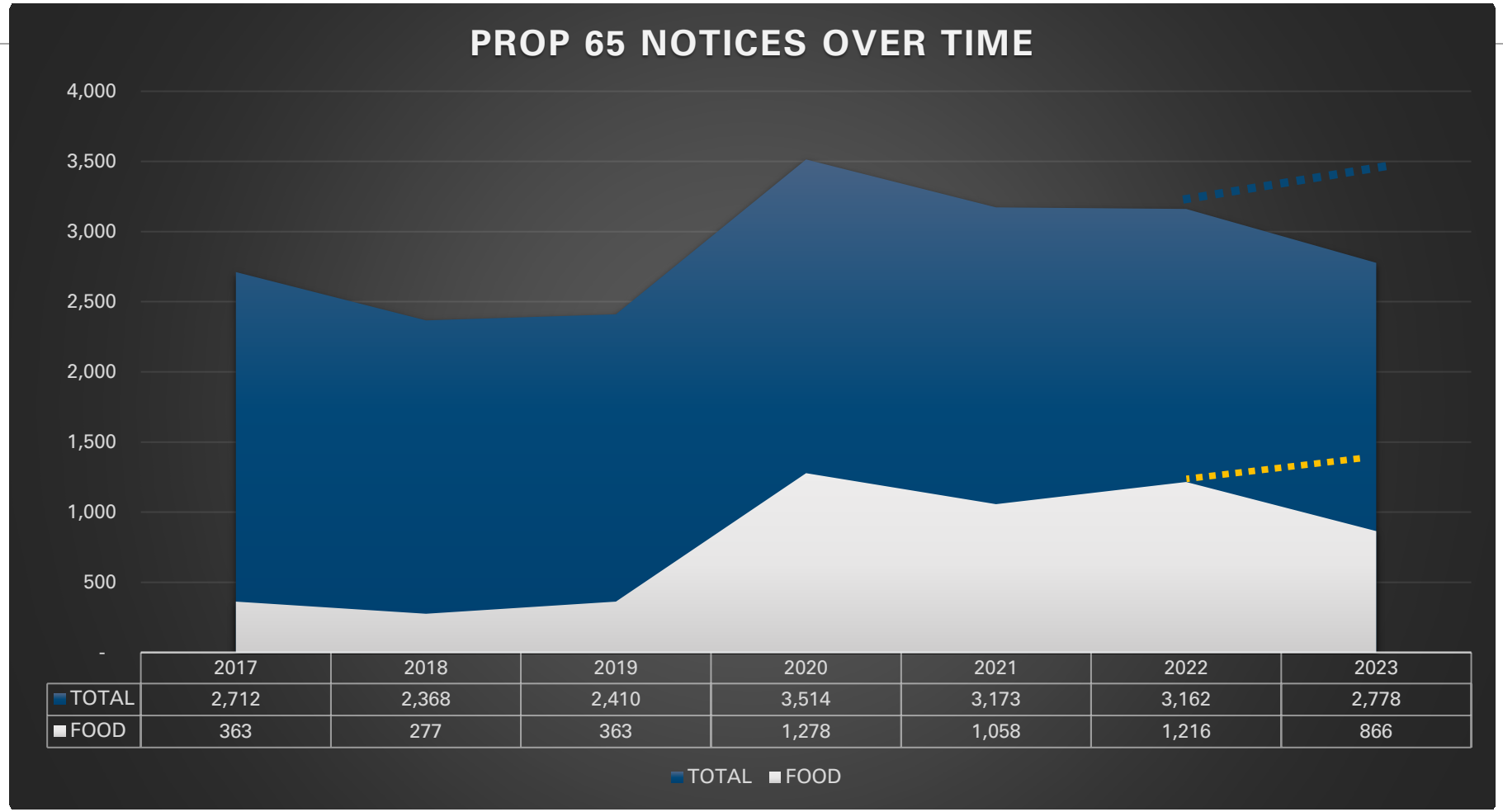
Key Provisions – Would require the State Department of Public Health to accredit certification agents that can certify products as "Non-Ultraprocessed Certified." The bill would require the department to create a specified standardized "Non-Ultraprocessed Certified" seal which would only be allowed to be displayed on a product if it was certified.

- Requires the department to maintain a public internet webpage that lists all of the products currently certified as "Non-Ultraprocessed Certified"

Penalties – The bill would authorize the department to enjoin a person who engages, has engaged, or proposes to engage in the misuse of the Non-Ultraprocessed Certified seal.

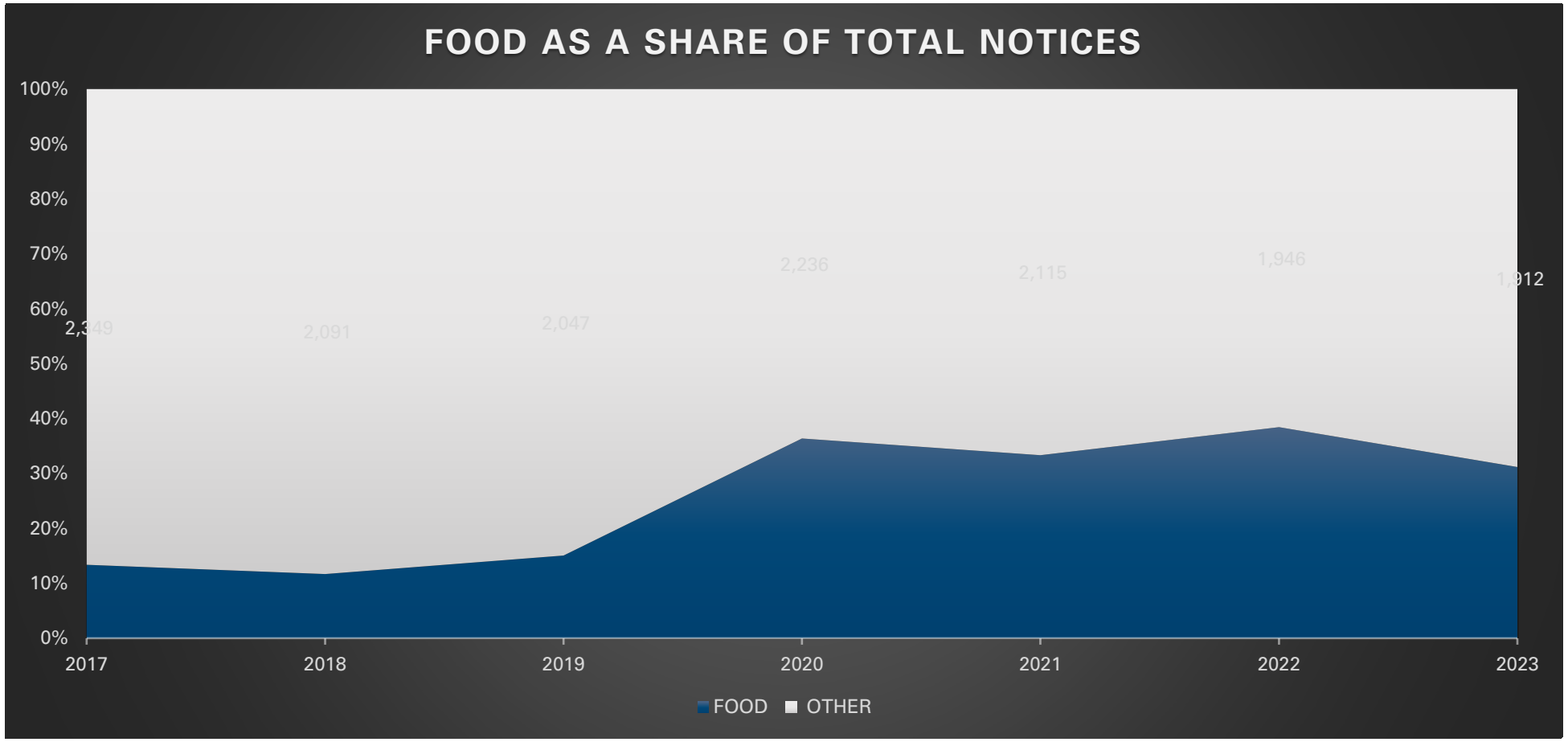
Proposition 65 Liability for Food Products

Prop 65 plaintiffs turn to food



	2017	2018	2019	2020	2021	2022	2023
TOTAL	2,712	2,368	2,410	3,514	3,173	3,162	2,778
FOOD	363	277	363	1,278	1,058	1,216	866

Share of Food-Related Notices

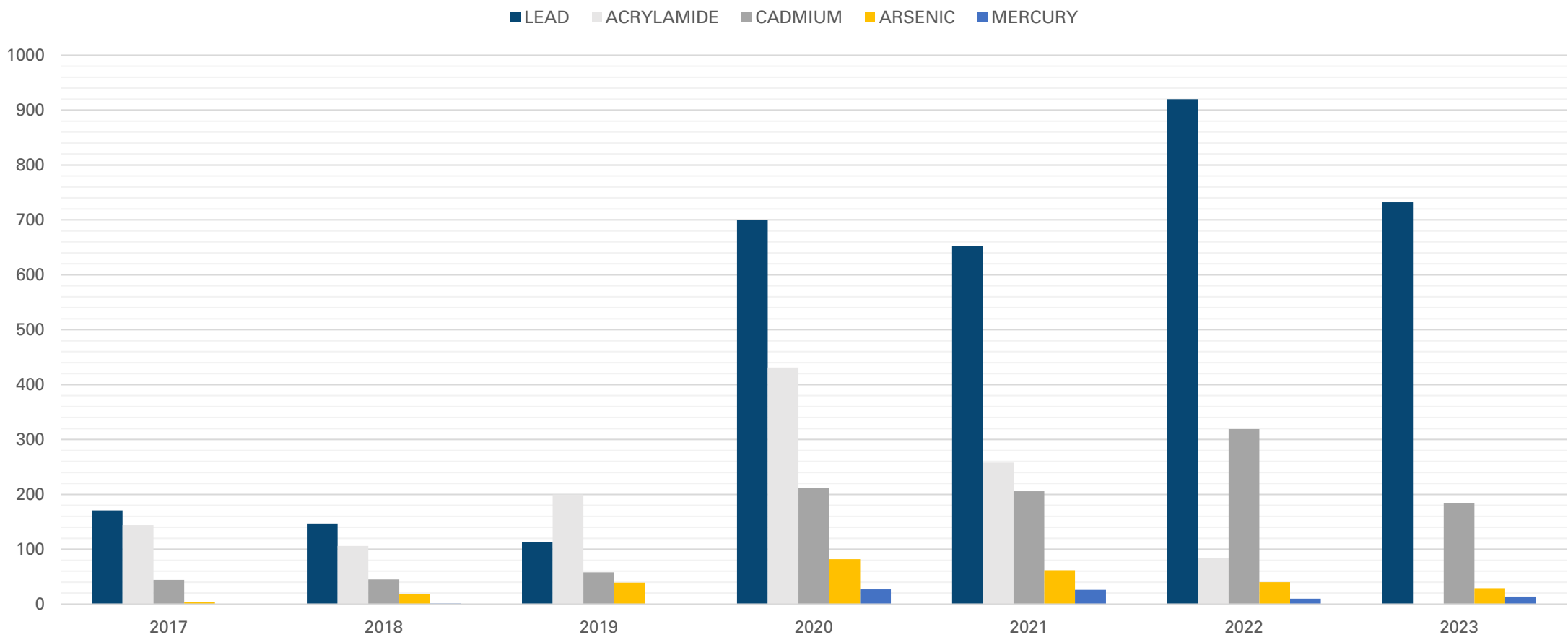


Prop 65 Chemicals Common in Food

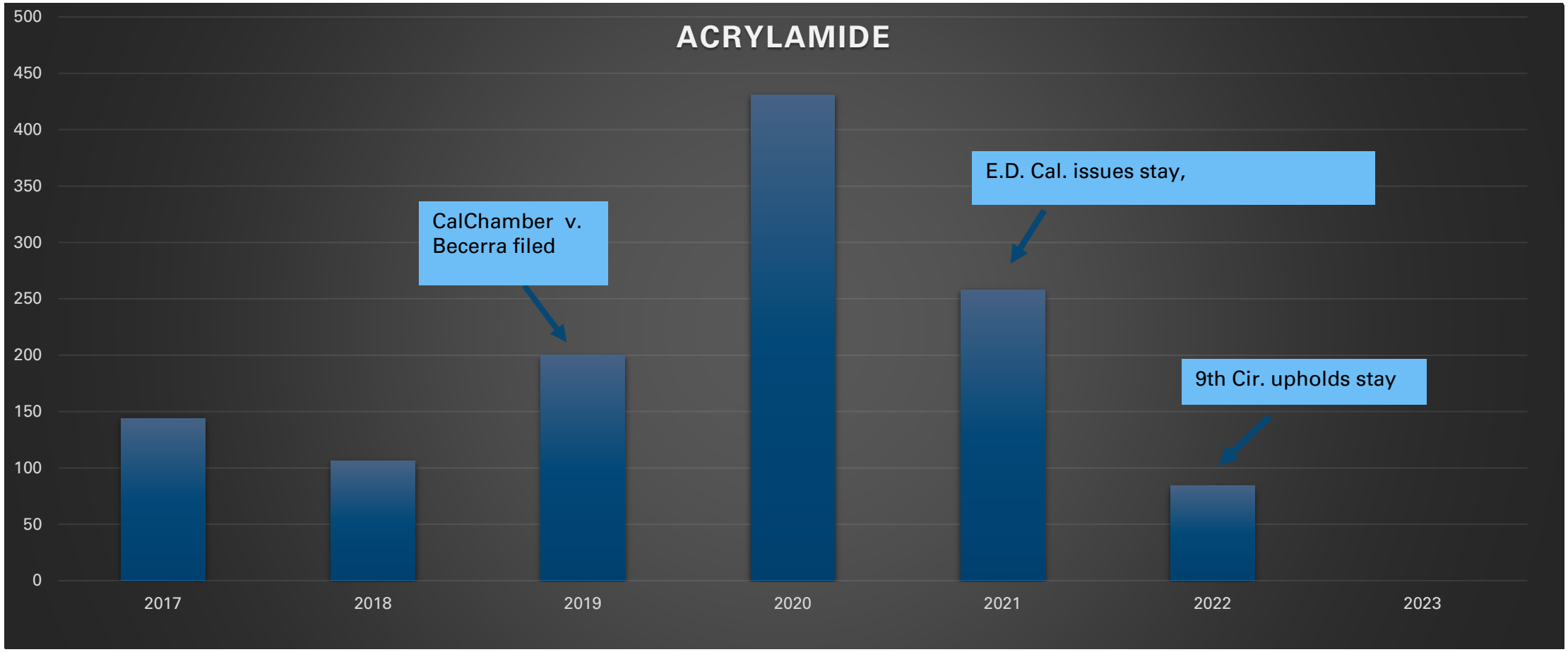
- Lead – root vegetables, seeds, fish, dehydrated vegetables and spices
- Cadmium – grain, fish, dehydrated vegetables and spices
- Mercury – fish
- Inorganic Arsenic – fish, rice
- Acrylamide – cooked carbohydrates

Don't worry about meats with USDA-approved labels

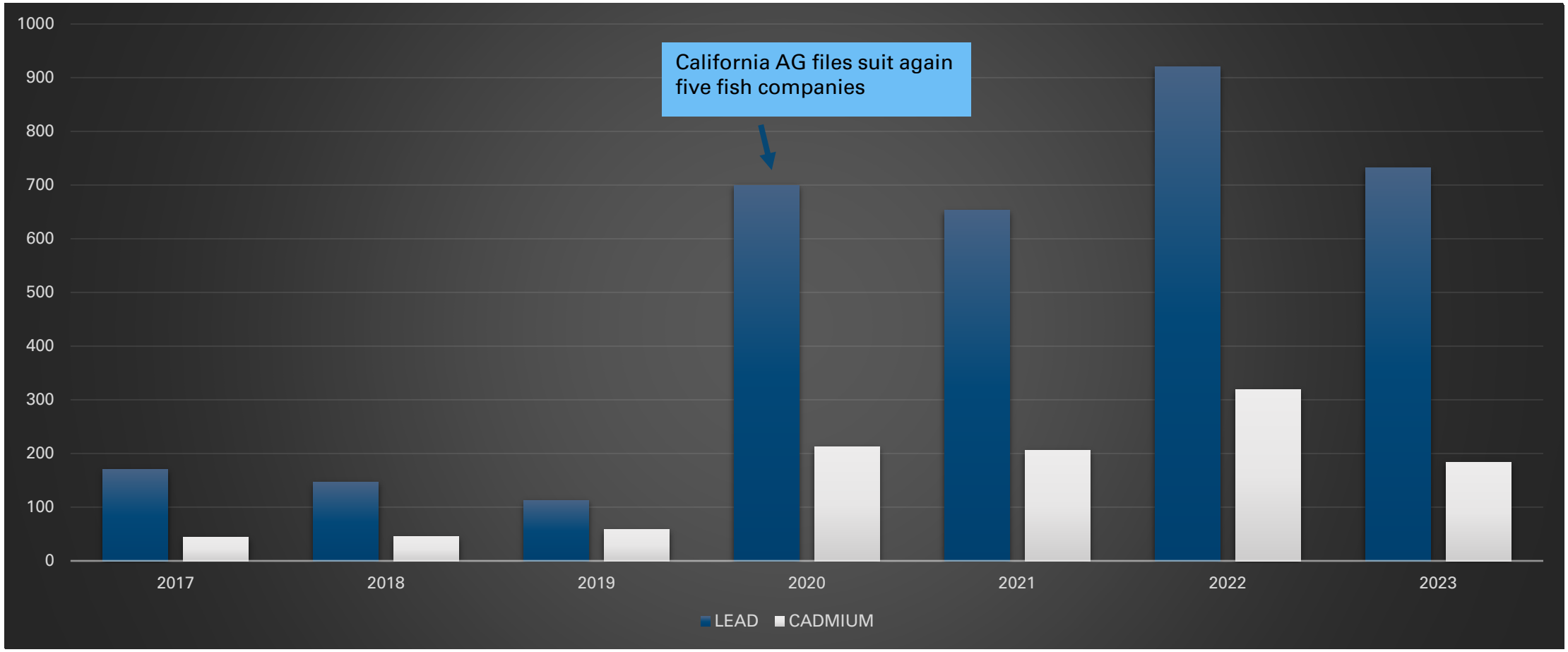
Chemicals to Watch



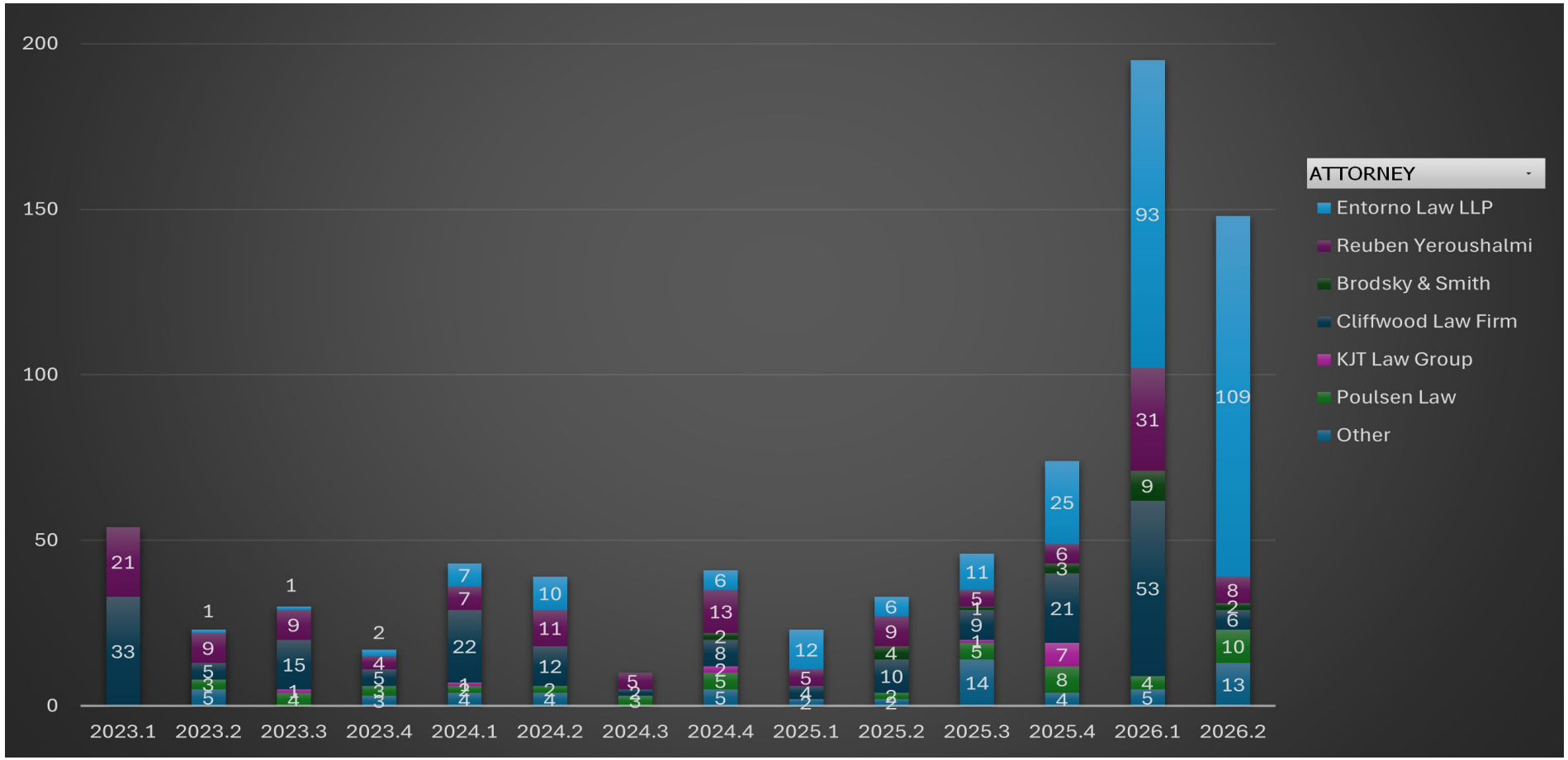
Tracking Trends - Acrylamide



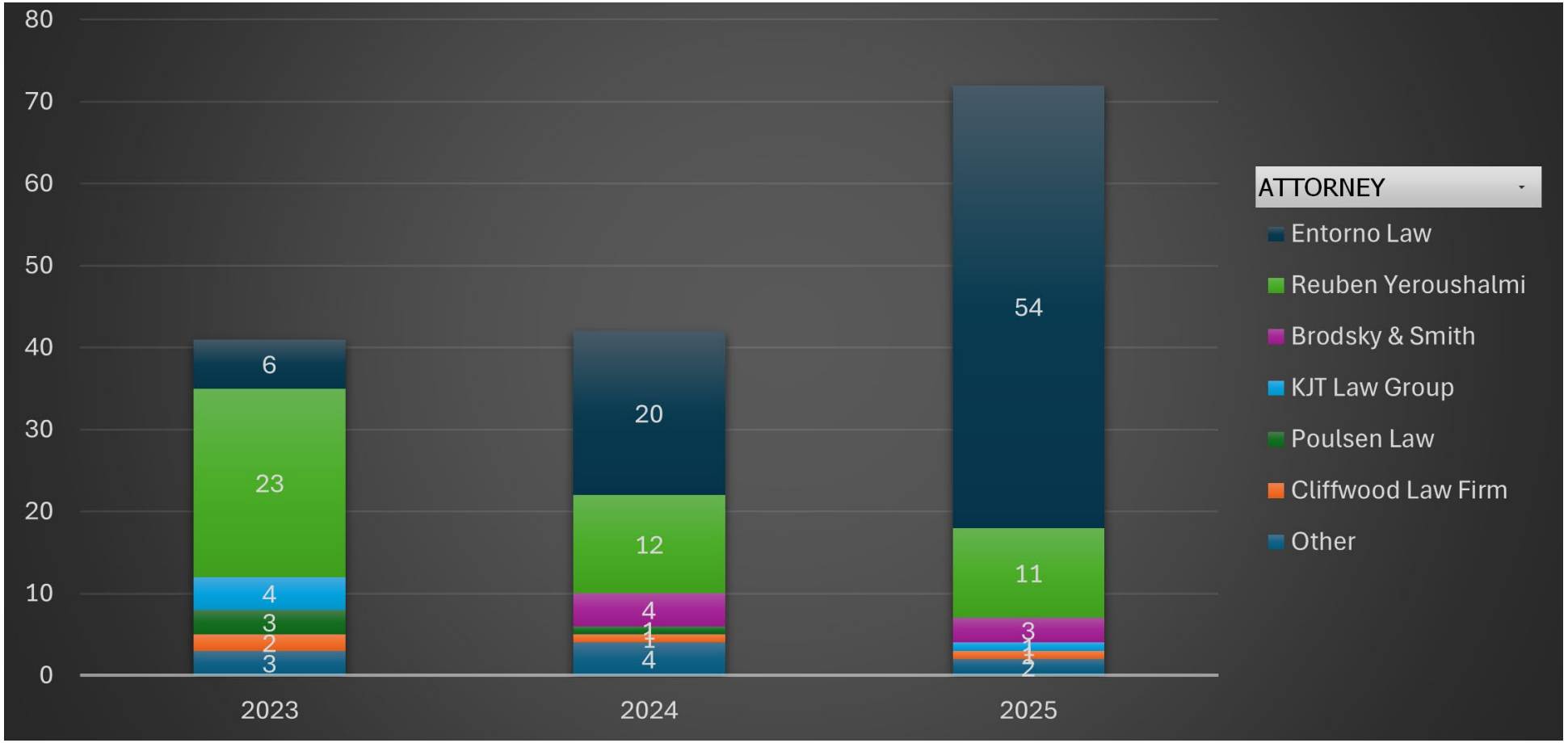
Tracking Trends – Lead/Cadmium



Prop 65 notices for cadmium over time



Prop 65 cadmium lawsuits over time



What The Law Says

No person in the course of doing business shall knowingly and intentionally expose any individual to a chemical known to the state to cause cancer or reproductive toxicity without first giving clear and reasonable warning

- Right to know statute – not a ban or limit on chemicals
- Original intent – water, environmental and occupational exposures
- Passed by ballot, not legislature, not well-suited for expansive application
- List has grown from about 30 chemicals in 1987 to approximately 1,000
- OEHHA has set a safe harbor for some but not all

Unusual, Pro-Plaintiff Incentives

- Unusual burden shifting to state a claim
- Burden of proof is on defendant to show that the product is below the safe harbor
  - Plaintiff only shows that the chemical is in the product (not so expensive)
- Every party on the supply chain is liable (*but* – retailers are special)
- Very expensive to defend – expert intensive
  - Exposure analysis must be done by an expert
  - Many chemicals on the list have no safe harbor; burden is then on defendant to show the level is not high enough to cause harm
  - Naturally-occurring defense

Issues Specific to Food Cases

- Exposure analysis *should* require assessment of how often the food is eaten by those that do eat it
  - *Environmental Law Foundation v. Beech-Nut Nutrition Corp.*, 235 Cal.App.4th 307(2015)
- Naturally-occurring chemicals
  - *People ex rel. Brown v. Tri-Union Seafoods, LLC*, 171 Cal. App. 4th 1549 (2009)
  - Excludes any man-made contamination, *e.g.*, pollution
- Variation across lots
  - *Beech-Nut,* again
- Some of the healthiest foods at most risk

Where Do Those Safe Harbors Come From?

- No Significant Risk Level (NSRL): no more than one excess case of cancer among 100,000 people with average exposure over 70-year life span.
- Maximum Allowable Dose Level (MADL): 1/1000 of the maximum with no identified risk of birth defects
  - Tend to be very low
  - Defendants argue teratogenic effects – no averaging
  - Can you average over life? Over pregnancy?
- *Beech-Nut*

Prelitigation Notices and Settlement

- Plaintiff required to serve 60-day notice before suit
- Defective notice means no standing to bring private claim
- Must include Certificate of Merit asserting confidence in claim and lack of defenses
  - Certifies that an expert reviewed the “information” but does not specify which information
  - Evidence goes to the AG, who can (but rarely does) act
  - Unclear if plaintiffs provide exposure analysis to AG

Settling Early – Risks and Benefits

- Most Notices never mature into lawsuits
  - This doesn't mean that most settle – the great majority disappear
- Settlement at this stage is beneficial to the plaintiff
  - No court oversight on fees
  - Little work / high payoff
  - Fees to penalty ratio 20x
- Can be beneficial to defendant to reduce litigation costs
  - But doesn't foreclose other cases
  - Often plaintiff doesn't have a case
  - They also don't want to go to trial

Protecting Against Prop 65

- Warnings everywhere
  - “Clear” and “Reasonable”
  - Warning blindness not necessarily applicable to food
- Testing each year
- Contracting with suppliers/buyers
- Indemnity
- Make settlements expansive but liability restrictive

Questions?

Jennifer Gross – Principal Attorney, jgross@ofwlaw.com
Nicole Bayne – Associate Attorney, nbayne@ofwlaw.com

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